

We see many DLT solutions as band-aids to the coming disruption. While DLT will help streamline existing processes—which will help profit margins in the short term—for the most part these solutions operate within what will become increasingly outdated business models. As we will cover with insurance, incumbents could use public blockchain architectures to provision similar services to what they do already, but it would cannibalize some of their revenue. Such cannibalization is admittedly painful, but as Christensen lays out, it is often necessary for long-term survival. Additionally, regulation can handcuff the incumbents, and in the financial services industry incumbents are particularly sensitive to regulatory rebukes after the financial crisis of 2008.

The incumbents protect themselves by dismissing cryptoassets, a popular example being JPMorgan's Jamie Dimon, who famously claimed bitcoin was “going to be stopped.”⁵ Mr. Dimon and other financial incumbents who dismiss cryptoassets are playing exactly to the precarious mold that Christensen outlines:

Disruptive technologies bring to a market a very different value proposition than had been available previously. Generally, disruptive technologies underperform established products in mainstream markets. But they have other features that a few fringe (and generally new) customers value. Products based on disruptive technologies are typically cheaper, simpler, smaller, and, frequently, more convenient to use.

Disruptive technologies like cryptoassets initially gain traction because they're “cheaper, simpler, smaller.” This early traction occurs on the fringe, not in the mainstream, which allows incumbents like Mr. Dimon to dismiss them. But cheaper,